

Fair and Equitable Treatment

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1 Introduction

Suppose we judge the fair and equitable treatment (FET) standard by the frequency of its invocation in investment treaty claims. In that case, it is no exaggeration to call the FET standard the most important substantive standard in the modern practice of international investment law. This is quite an achievement for a treaty provision that has seldom, if ever, been negotiated.¹ It is, moreover, quite a feat for a legal standard that witnessed almost no judicial and arbitral practice until less than thirty years ago. Of course, legal standards do not exist of their own accord. Whereas we often think of legal developments like we do people—birth, growing pains, maturity, settlement, and eventually retirement—it is more what people do with legal texts that matters. Texts and accumulated professional practice constrain what one can do with any legal concept. Yet, it is just as much about channelling the relevant actors' prevalent discursive frameworks, their social milieus, and the political economy of the field that shape the actual impact a legal standard achieves.

This chapter asks how a legal standard that played, at best, a supporting role for much of its history has become foreign investors' most popular weapon of choice in investment treaty arbitration and, not independently, the legal standard that arbitral tribunals have found most often in the breach.² To do so, the chapter will first revisit the debate about the origins of the FET standard. Then, it hones in on recent debates about the key elements of the standard. Here, the chapter discusses how the legal content of the standard has been construed in investor–state dispute settlement (ISDS) practice, with a view to identifying the pivotal moments of its interpretation and application. This

¹ Christoph Scheuer's expert statement in *Wintershall Aktiengesellschaft v Argentine Republic*, ICSID Case No ARB/04/14, Award (8 December 2008) [85].

² UNCTAD Investment Dispute Settlement Navigator lists an FET breach alleged in 592 out of 807 concluded cases in the database; breach was found in 167 out of the 592 cases. See <https://investmentpolicy.unctad.org/investment-dispute-settlement>.

discussion focuses on the key elements of legitimate expectations, legal stability, arbitrariness, and transparency. Whereas other elements of FET have been identified in practice, these key ones have proven the most controversial. The chapter ends with an analysis of recent FET trends in both treaty-making and ISDS practice.

2 Another Origin Story? Fair and Equitable Treatment and the International Minimum Standard

Common accounts of the FET standard link it to the so-called minimum standard of treatment (MST).³ Alongside the protection against uncompensated expropriation, the MST has long been part of the international law on the protection of aliens and on state responsibility.⁴ It is considered a valid part of customary international law. The traditional content of the MST dealt with the administration of justice for foreigners, epitomized in the international rule against denial of justice.⁵ The link between the MST and FET standard has been supported by occasional references to customary international law in FET provisions in bilateral investment treaties (BITs). Much ink was spilt over this link in the early 2000s international law scholarship and practice. There is little point in rehashing those discussions here.⁶ It is acknowledged that the term was employed in mid-twentieth century US practice of concluding treaties on friendship, commerce, and navigation, and that much of its current content has been justified by analysing past practice in the application of the MST.⁷ It must also be acknowledged that much of the content of customary

³ See eg Martins Paparinskis, *The International Minimum Standard and Fair and Equitable Treatment* (OUP 2013); Rudolf Dolzer, Ursula Kriebaum, and Christoph Schreuer, *Principles of International Investment Law* (3rd edn, OUP 2022) 188–205. Also see Adeleke and Van Harten in this volume.

⁴ See Perrone in this volume.

⁵ Oliver J Lissitzyn, 'The Meaning of the Term Denial of Justice in International Law' (1936) 30 *The American Journal of International Law* 632; Edwin Borchard, 'The "Minimum Standard" of the Treatment of Aliens' (1939) 33 *Proceedings of the American Society of International Law at Its Annual Meeting (1921–1969)* 51; Jan Paulsson, *Denial of Justice in International Law* (CUP 2005); Paparinskis (n 3). Also see the discussion of denial of justice by Sattorova in this volume.

⁶ Stephen Vasciannie, 'The Fair and Equitable Treatment Standard in International Investment Law and Practice' (2000) 70 *British Yearbook of International Law* 99; Rudolf Dolzer, 'Fair and Equitable Treatment: A Key Standard in Investment Treaties' (2005) 39 *International Lawyer* (ABA) 87; Rudolf Dolzer, 'Fair and Equitable Treatment: Today's Contours' (2013) 12 *Santa Clara Journal of International Law* 7; Christoph Schreuer, 'Fair and Equitable Treatment in Arbitral Practice' (2005) 6 *Journal of World Investment & Trade* 357; Kenneth J Vandeveld, 'A Unified Theory of Fair and Equitable Treatment' (2010) 43 *New York University Journal of International Law and Politics* 43; Paparinskis (n 3).

⁷ See eg *Oil Platforms (Iran v US)* 1996 ICJ 803, 858 (December 12) (separate opinion of Judge Higgins); *Waste Management Inc (II) v United Mexican States*, ICSID Case No ARB AF/00/3 (30 April 2004); *Glamis Gold Ltd v United States of America*, UNCITRAL, Award (8 June 2009); NAFTA Free

international law on the protection of foreign property had been developed by a handful of mostly metropolitan states.⁸ For present purposes, the most important point is that the modern practice of investment treaty arbitration has developed a far-reaching conception of FET that puts a premium on particular values most beneficial to the foreign investor.

Most of the current ISDS practice related to FET, specifically, and the protection of foreign investment, more generally, has a distinctive value framework. The framework projects a knee-jerk suspicion towards state intervention going beyond market inducement and correction of market failures.⁹ It gives preference to the wealth maximization over other social and political functions of property.¹⁰ It supports the state's maintenance of generalized competition.¹¹ It projects an idea of one-directional regulatory stability. For example, it condones or is indifferent towards regulatory changes that create possibilities for investors' capital accumulation ('regulatory givings'). At the same time, it rejects regulatory changes that limit capital accumulation in order to advance other societal goals ('regulatory takings').¹² Concomitant to this view is an understanding of state-investor relations as essentially transactional.¹³ Finally, broader legalization and formal adjudication are framed as institutional vehicles for enforcing this economic constitution; specifically, a type

Trade Commission, Notes of Interpretation of Certain Chapter 11 Provisions (31 July 2001) http://www.sice.oas.org/tpd/nafta/commission/ch11understanding_e.asp.

⁸ Jeffrey A Friedman, 'International Investment and Colonial Control: A New Interpretation' (1994) 48 *International Organization* 559; James Gathii, 'War's Legacy in International Investment Law' (2009) 11 *International Community Law Review* 353; Kate Miles, *The Origins of International Investment Law: Empire, Environment and the Safeguarding of Capital* (CUP 2013); Kathryn Greenman, *State Responsibility and Rebels: The History and Legacy of Protecting Investment Against Revolution* (CUP 2021).

⁹ Perrone documents how UNCTAD's narratives post-2008 crisis have been more sensitive to public regulation of investment for certain goals, but they still do not abandon the commodity conception of investment, let alone move towards the conception of investment which would reflect local preferences. Nicolás M Perrone, 'UNCTAD's World Investment Reports 1991–2015: 25 Years of Narratives Justifying and Balancing Foreign Investor Rights' (2018) 19 *The Journal of World Investment & Trade* 7.

¹⁰ Nicolás M Perrone, 'The Emerging Global Right to Investment: Understanding the Reasoning behind Foreign Investor Rights' (2017) 8 *Journal of International Dispute Settlement* 673.

¹¹ Ntina Tzouvala, 'The Ordo-Liberal Origins of Modern International Investment Law: Constructing Competition on a Global Scale' in John D Haskell and Akbar Rasulov (eds), *New Voices and New Perspectives in International Economic Law* (Springer International Publishing 2020).

¹² Nicolás M Perrone, *Investment Treaties and the Legal Imagination: How Foreign Investors Play by Their Own Rules* (1st edn, OUP 2021); Akbar Rasulov, 'The Empty Circularity of Regulatory Takings: The Legacy of a Legal-realist Critique for a 21st Century Context' in Hugo Mattei and John Haskell (eds), *Research Handbook on Political Economy and Law* (Edward Elgar Publishing 2017); Josef Ostránský, 'From a Fortuitous Transplant to a Fundamental Principle of Law? The Doctrine of Legitimate Expectations and the Possibilities of a Different Law' in Ingo Venzke and Kevin John Heller (eds), *Contingency in International Law: On the Possibility of Different Legal Histories* (OUP 2021).

¹³ Perrone (n 12).

of adjudication that is transnational in its practice and spirit, abstracted from local contexts, and operated by people with a globalized outlook.

There is much to consider in the previous paragraph, and this chapter will gradually elaborate on the claims made. The immediate point is that—even though there are some constraints in the language of FET treaty provisions and some linkages with past, functionally similar, international law norms accepted by the community of international lawyers—there is little preordained in the way the standard is applied. Today's context matters just as much. I would wager that, regardless of the links with the MST and colonial heritage of international investment law, if investment treaty arbitration were invented today, the subsequent application of FET would be very different from its current application drawing on more than twenty years of arbitration practice since the 1990s. In other words, the link between the MST and FET is not at the heart of today's FET standard. The heart of FET now lies in this more recent arbitration practice. The policy-making trends I discuss towards the end of the chapter, which react to the recent arbitration practice regarding FET, hint at a possibility that what is taken in the social circles of investor–state arbitration as an established practice might be more of a strange and extravagant period of legal developments. No matter how strange and extravagant, it is this period that weighs most heavily on the minds of policy-makers today and that makes it so difficult to change course in the face of great threats to humanity.

3 The Content of FET: Key Elements and Pivotal Moments

As should be clear by now, the FET standard is not treated here as a more or less determinate legal artefact, the content of which can be elaborated by careful legal exegesis. I will highlight the main elements that ISDS practice considers part of the standard. Yet, I am also interested in how some of these elements came into being within specific parameters. In this sense, I will consider the legal texts but also the people and events that produced them.

The typical wording of the FET standard in many 1990s BITs says something along these lines:

Investments of nationals or companies of each Contracting Party *shall at all times be accorded fair and equitable treatment* and shall enjoy full protection and security in the territory of the other Contracting Party.¹⁴

¹⁴ Albania–United Kingdom BIT (1995) art 2 (emphasis added).

Each Contracting Party shall ensure fair and equitable treatment within its territory of the Investments of the Investors of the other Contracting Party.¹⁵

Each Contracting State shall in its territory promote as far as possible investments by nationals or companies of the other Contracting State and admit such investments in accordance with its legislation. *It shall, in any case, accord such investments fair and equitable treatment.*¹⁶

Each Contracting Party shall ensure fair and equitable treatment to investments of investors of the other Contracting Party and shall not impair, by unreasonable or discriminatory measures, the operation, management, maintenance, use, enjoyment or disposal thereof by those investors.¹⁷

A few points can be highlighted about the above excerpts. First, the text does not give much guidance on the standard's legal content, leaving arbitrators with a great deal of interpretative latitude. Secondly, the standard is often listed in the same provision as other legal standards—eg alongside promotion obligations as in the Bahrain–German BIT, the full protection and security standard like in the Albania–UK BIT, or together with the prohibition of arbitrary and discriminatory measures as in the Argentine–Dutch BIT. ISDS practice has generally considered these other standards as separate but overlapping with FET. Third, more recent treaty practice has sought to provide more precision in the legal content of FET or even to omit the standard altogether. These steps respond to the interpretative leeway left by earlier BITs to arbitral tribunals.¹⁸

Although the FET's precise contours and normative content are not entirely clear and still debated, it seems that certain statements about its juridical content, derived from arbitral practice, can be accepted with a fair degree of certainty:

- It is an absolute standard, connoting a minimum threshold.
- It is not limited to bad-faith conduct, ie it is an 'objective standard'.¹⁹

However, these statements do not get us far in ascertaining the legal content of FET, let alone in assessing how it will be applied to the facts of any case. There

¹⁵ Poland–Switzerland BIT (1993) art 4.2 (emphasis added).

¹⁶ Bahrain–Germany (2010) art. 2.1 (emphasis added).

¹⁷ Argentina–Netherlands BIT (2008) art 3.1 (emphasis added).

¹⁸ See section 4.1 Recent Treaty Practice below.

¹⁹ The idea is that the adjudicator assesses the state's conduct based on its factual manifestations without searching for or regard to the intention of the conduct's author.

have been numerous scholarly attempts to define FET by reference to a unifying principle, such as good faith, the rule of law, good governance, or justice.²⁰ All of these approaches are problematic, and none is entirely coherent.²¹ Hence it is better to approach the FET standard as having several elements of investment protection. Even here, however, scholars and practitioners do not agree on what elements are validly included.

Scholarly accounts often reached different conclusions about the content of FET depending on their methodology. For instance, according to Dolzer, Kriebaum, and Schreuer, FET protects stability and legitimate expectations, transparency, compliance with contractual obligations, procedural propriety and due process, good faith, and freedom from coercion and harassment.²² Bonnitcha's functional division includes legitimate expectations, procedural aspects, the examination of substantive justifications, and discrimination.²³ Paparinskis's traditional doctrinal method leads him to divide the content of FET into administration of justice and protection of property, with the latter further including non-arbitrariness, due process, transparency, non-discrimination, good faith, and respect for legitimate expectations.²⁴ For their parts, both arbitral practice and treaty-making are inconsistent and thus do not support any stable and clearly ascertainable meaning. For this reason, the rest of this section focuses on the FET elements that have proven most controversial in ISDS practice, scholarship, and policy-making. As mentioned above, these are legitimate expectations, legal stability, arbitrariness, and transparency.

²⁰ Todd Grierson-Weiler and I Liard, 'Standards of Treatment' in Petr Muchlinski, Federico Ortino, and Christoph Schreuer (eds), *The Oxford Handbook of International Investment Law* (OUP 2008) 272; Dolzer (n 7) 91; Kenneth Vandevelde, 'A Unified Theory of Fair and Equitable Treatment' 43 (2010) NYU Journal of International Law and Politics 43, 49; Stephan W Schill, 'Fair and Equitable Treatment, the Rule of Law, and Comparative Public Law' in Stephan W Schill (ed), *International Investment Law and Comparative Public Law* (OUP 2010) 151; Roland Kläger, *Fair and Equitable Treatment in International Investment Law* (CUP 2013) 153.

²¹ Bonnitcha argues that good faith fails to explain the FET as an objective standard not dependent on whether respondent acted in good faith; the rule of law, itself a contestable concept, fails to explain why a reasoned change in policy arrived at through lawful and reasoned procedures can violate the FET; and finally, justice, an inherently contestable concept, fails to explain many aspects of arbitral practice, such as the protection of expectations or why distributive social welfare objectives, a typical objectives of any theory of justice, do not play role in arbitral decision-making. See Jonathan Bonnitcha, *Substantive Protection under Investment Treaties: A Legal and Economic Analysis* (CUP 2014) 164.

²² Dolzer, Kriebaum, and Schreuer (n 3) 186–295.

²³ Bonnitcha (n 21) 166.

²⁴ Paparinskis (n 3) 181–259.

3.1 Legitimate Expectations

The concept of legitimate expectations features in all accounts of FET over the last two decades.²⁵ Despite numerous scholarly accounts justifying the emergence of a legitimate expectations doctrine as a logical application of investment treaties, its emergence appears highly dependent on the recent history. From the ISDS practice on legitimate expectations, it is clear that the doctrine became part of investment law by a rather fortuitous reference to ‘expectations’ in early investment treaty arbitration cases. These early cases described the investor’s expectations, but only in a non-technical sense. They did not elaborate any legal justifications for the relevance of the investor’s expectations, apart from a general reference to good faith. Nevertheless, later cases and scholarship elevated this early case law to a status of legal authority that then gave an ex post juridical justification for the doctrine.

The first investment treaty case that referred to investors’ expectations was *Metalclad v Mexico*. In this well-known NAFTA arbitration, the investor’s purchase of a waste management company and its unclear landfill rights ended in the denial of municipal permits and other approvals, despite alleged (and oral) federal assurances. The tribunal in that case held the state to this exacting standard:

[A]ll relevant requirements should be capable of being readily known to all affected investors ... there should be no room for doubt or uncertainty ... Once central authorities become aware of any scope of uncertainty in this connection, it is their duty to ensure that the correct position is properly determined ... Metalclad was entitled to rely on the representations of federal officials and to believe that it was entitled to continue its construction of the landfill ... Metalclad was merely acting prudently and in the full expectation that the permit would be granted.²⁶

This statement by the tribunal has since been taken to support the sweeping proposition that legitimate expectations exist whenever a state official advises an investor on the content of law, even requiring officials to dispel possible

²⁵ This section draws on Ostránský (n 12); Josef Ostránský, ‘An Exercise in Equivocation: A Critique of Legitimate Expectations as a General Principle of Law under the Fair and Equitable Treatment Standard’ in Andrea Gattini, Attila Tanzi, and Filippo Fontanelli (eds), *General Principles of Law and International Investment Arbitration* (Brill Nijhoff 2018).

²⁶ *Metalclad Corporation v The United Mexican States*, ICSID Case No ARB AF/97/1, Award (30 August 2000) [76], [89].

uncertainties. As Campbell has observed, one can hardly think of a commercial or administrative relationship—other than where a body is tasked with providing an official, authoritative interpretation—where one party must act as legal counsel to the other, and in which that other party can rely wholly on the advice.²⁷ The tribunal seemed to assume that an investor's entitlement to have expectations protected stems from the subjective expectation itself. According to the tribunal, this entitlement was required implicitly by the NAFTA states' obligations of transparency, which were taken, again implicitly, to be part of FET.²⁸

The *Metalclad* arbitrators were high calibre. The tribunal's president was Elihu Lauterpacht, a towering figure in international law, and the wing arbitrators, too, were of important stature and reputation. Benjamin Civiletti was a former US Attorney General who appeared before the International Court of Justice in the *Tehran Hostages* case.²⁹ José Luis Siqueiros, a late professor at Universidad Iberoamericana in Mexico, was a former President of the Inter-American Juridical Committee of the Organization of American States.³⁰ Lauterpacht, in particular, left an important legacy in the field of international investment law. Among other things, he was a crucial figure in the drafting of important twentieth-century documents aimed at codification of international investment law, such as the Abs-Shawcross Draft on Protection of Foreign Investment and OECD Draft Convention on Investment Abroad.³¹ His ideas, informed by the experience of the nationalization of Anglo-Iranian Oil Company in the 1950s, contributed in important ways to creating the modern mechanism of treaty-based investor–state arbitration and to the emergence of umbrella clauses.³² Serving as a president of the World Bank Administrative

²⁷ Christian Campbell, 'House of Cards: The Relevance of Legitimate Expectations under Fair and Equitable Treatment Provisions in Investment Treaty Law' (2013) 30 *Journal of International Arbitration* 361, 366.

²⁸ Interestingly, the decision was partly annulled on the grounds that the NAFTA Chapter 11 does not include a stand-alone obligation of transparency, which the tribunal read into art 1105 (FET) via reference to art 102(1). *The United Mexican States v Metalclad Corp* [2001] BCSC 664 (Supreme Court of British Columbia, 2 May 2001).

²⁹ 'Remembering Former U.S. Attorney General Benjamin Civiletti' *Maryland State Bar Association* (21 October 2022) <https://www.msba.org/remembering-benjamin-civiletti/>; United States Diplomatic and Consular Staff in Tehran (*United States of America v Iran*), Verbatim Record [1979], Oral Arguments on the Request for the Indication of Provisional Measures, Minutes of the Public Sitzings 15.

³⁰ International Council for Commercial Arbitration, <https://www.arbitration-icca.org/jose-luis-siqueiros-1924-2020>.

³¹ Yuliya Chernykh, 'The Gust of Wind: The Unknown Role of Sir Elihu Lauterpacht in the Drafting of the Abs-Shawcross Draft Convention' in Stefan Schill and others (eds), *International Investment Law and History* (Edward Elgar Publishing 2018) 241; Squire Law Library, 'Eminent Scholars Archive, Sir Elihu Lauterpacht' www.squire.law.cam.ac.uk/eminent-scholars-archive/professor-sir-elihu-lauterpacht.

³² Chernykh (n 31); Anthony Sinclair, 'The Origins of the Umbrella Clause in the International Law of Investment Protection' (2004) 20 *Arbitration International* 411.

Tribunal from 1996 to 1998, he decided cases based on a notion of legitimate expectations, although in an entirely different legal and adjudicative context.³³ Importantly, however, besides its passing reference to investors' expectations, the tribunal did not apply anything resembling a doctrine, principle, or rule of legitimate expectations from any existing source of law.

The second case alluding to expectations also dealt with the denial (and, more specifically, revocation) of a landfill operating permit in Mexico.³⁴ In *Tecmed v Mexico*, the tribunal effectively divined a standard that has since been criticized as an idealized demand for good, not to say near-perfect, governance.³⁵ Similar to *Metalclad*, the concept of legitimate expectations was not even applied in the case, as the tribunal found an FET violation based on procedural propriety.³⁶ Even so, a far-reaching conception of legitimate expectations, once again unsupported by any authority beyond the principle of good faith, has been taken from this statement:

[Good] faith principle established by international law requires the Contracting Parties to provide to international investments treatment that does not affect the basic expectations that were taken into account by the foreign investor to make the investment. The foreign investor expects the host State to act in a consistent manner, free from ambiguity and totally transparently in its relations with the foreign investor, so that it may know beforehand any and all rules and regulations that will govern its investments, as well as

³³ See eg *Joseph Lopez v IBRD*, WBAT Decision No 147 (14 May 1996). The case dealt with the question of whether Lopez's service was properly terminated by the bank for unsatisfactory performance. Lauterpacht and others found that the delay of the bank's review of Lopez's objection 'infringed upon his procedural rights and his legitimate expectation to have a speedy disposition of his complaints (para 54)'. As a side note, one of the vice presidents of the tribunal deciding on the *Lopez* case was the late Francisco Orrego Vicuña, who later became an important arbitrator in many investor-state treaty disputes and one of the early scholars justifying reference to legitimate expectations in arbitral practice; Francisco Orrego Vicuña, 'Regulatory Authority and Legitimate Expectations: Balancing the Rights of the State and the Individual under International Law in a Global Society' (2003) 5 *International Law FORUM du droit international* 188.

³⁴ *Técnicas Medioambientales Tecmed SA v The United Mexican States*, ICSID Case No ARB AF/00/2, Award (29 May 2003). Composition of the *Tecmed* tribunal was also interesting. The tribunal was presided by the former Secretary General of the ICC Court of Arbitration, an expert in private international law and commercial arbitration, Argentine professor Horacio Grigera Naón. The other two arbitrators were José Carlos Fernández Rosa, professor of private international law at Universidad Complutense in Madrid and later a member of l'Institut de droit international, and Carlos Bernal Vera, a private practitioner in Mexico, who later became a professor at ITAM in Mexico City—one of the most elite private educational institutions in Mexico known for its close links with US neoclassical economics and the training of economically minded lawyers.

³⁵ Zachary Douglas, 'Nothing if Not Critical for Investment Treaty Arbitration: Occidental, Eureko and Methanex' (2006) 22 *Arbitration International* 27.

³⁶ *ibid* 28.

the goals of the relevant policies and administrative practices or directives, to be able to plan its investment and comply with such regulations.³⁷

This sweeping dictum, and that in *Metalclad*, were subsequently adopted by later tribunals and elevated to a status of legal authority for a doctrine of legitimate expectations.³⁸ Neither of the early tribunals had invoked such a doctrine themselves, but merely used the term expectations in describing the investors' ultimate disappointment.

It was not until *Thunderbird v Mexico* that a 'doctrine' of legitimate expectations was applied in investment treaty arbitration.³⁹ The *Thunderbird* tribunal, particularly in Wälde's lengthy separate opinion, gave a nod to *Tecmed* and *Metalclad* and then went to great lengths to portray legitimate expectations as a general principle of law. The tribunal's president was Albert Jan van den Berg, a renowned expert on the New York Convention with an extensive practice in commercial and investment arbitration, with Agustín Portal Ariosa, a Mexican private practitioner who had worked for the Mexican government, and the late Thomas Wälde as co-arbitrators. Wälde was a prominent if enigmatic figure in investment treaty arbitration during its initial emergence as a field of practice. He was a former UN Inter-Regional Adviser on Petroleum and Mineral Legislation, a seasoned UN official, and an international law practitioner and academic who had worked with Detlev Vagts, Richard Baxter, and Rosalyn Higgins. He came to prominence in the investment law community upon creating important platforms for exchange of opinions among the constituencies that were interested in investment law and arbitration. Institutionally, he set up the Centre for Energy, Petroleum and Mineral Law and Policy at the University of Dundee. Most importantly, he established the OGEMID, an ongoing and influential listserv which connects actors in the emerging, mostly investor-side, community of practitioners and academics.⁴⁰ Similarly, he was an active commentator on investment and oil and gas law in the *Transnational*

³⁷ *Tecmed v Mexico* (n 34) [154].

³⁸ See eg *Bayindir Insaat Turizm Ticaret Ve Sanayi AS v Islamic Republic of Pakistan*, ICSID Case No ARB/03/29, Award (27 August 2009) [179]–[80]; *MTD Equity Sdn Bhd and MTD Chile SA v Republic of Chile*, ICSID Case No ARB/01/7, Award (25 May 2004) [114]–[115]; *LG&E Energy Corp, LG&E Capital Corp, and LG&E International Inc v Argentine Republic*, ICSID Case No ARB/02/1, Decision on Liability (3 October 2006) [127]; *Saluka Investments BV v Czech Republic*, UNCITRAL, Partial Award (17 March 2006) [302].

³⁹ *International Thunderbird Gaming Corporation v The United Mexican States*, UNCITRAL, Award (26 January 2006).

⁴⁰ 'About OGEMID' www.transnational-dispute-management.com/ogemid/.

Dispute Management (TDM) online journal.⁴¹ Thus, Wälde had created influential early venues for the exchange of information and perspectives among like-minded actors who were interested in the field.

In his separate opinion in *Thunderbird*, Wälde argued boldly that legitimate expectations are a 'self-standing subcategory and independent basis for a claim.'⁴² His comparative review of EU law, national administrative law systems, and WTO jurisprudence led him to postulating the existence and validity of a doctrine of legitimate expectations under investment treaties. While he admitted that the doctrine's exact contours were not yet clear, Wälde claimed that international law had long applied such a doctrine in the manner of that now deployed by modern investment tribunals.⁴³

On closer examination, Wälde's references have little in common with the conception of legitimate expectations we know today in ISDS. For instance, his reference to the 1930s era arbitration in *Schufeldt* did not actually address an illegal contract later reneged on; this point had merely been a defence put forward by Guatemala. The *Schufeldt* arbitrator held the disputed contract to be valid and the state's repudiation decree to be an internationally unlawful sovereign interference in a contract.⁴⁴ Similarly, *Aminoil* and *Amoco* only referred to legitimate expectations as a descriptive consideration in the calculation of damages in order to help estimate a reasonably foreseeable profit.

However, around the time *Thunderbird* was decided in 2006, investment law scholars—many of them also practitioners in the field—began publishing articles that sought to explain and justify the application of legitimate expectations as a valid doctrine in investment law.⁴⁵ Some spoke of the doctrine as a 'logical and practical necessity'.⁴⁶ As it happened, by the 2010s legitimate expectations had been established as the single-most important aspect of FET,

⁴¹ For an impressive list of his commentaries and short articles spanning a wide range of topics related to investment law and arbitration published in TDM see www.transnational-dispute-management.com/journal-author-articles.asp?key=6.

⁴² *Thunderbird v Mexico* (n 39) Separate Opinion of Thomas Wälde [37].

⁴³ He referred to *Schufeldt Claim* (Guatemala, USA), [1949] UNRIAA 2 (24 July 1930) 1079; *Kuwait v The American Independent Oil Company (AMINOIL)* (1982) 21 ILM 976 [149]; *Amoco Intl Finance Corp v Iran* (1987) 15 IRAN-US CTR 189.

⁴⁴ *Schufeldt Claim* (n 43) 1088. Alternatively, the circumstances of the *Schufeldt* case may be viewed as an example of estoppel precluding Guatemala's defence of illegality; Derek Bowett, 'Estoppel before International Tribunals and Its Relation to Acquiescence' (1957) 33 *British Yearbook of International Law* 176, 186.

⁴⁵ See eg Vicuña (n 33); Elizabeth Snodgrass, 'Protecting Investors' Legitimate Expectations: Recognizing and Delimiting a General Principle' (2006) 21 *ICSID Review* 1; Michele Potestà, 'Legitimate Expectations in Investment Treaty Law: Understanding the Roots and the Limits of a Controversial Concept' (2013) 28 *ICSID Review* 88.

⁴⁶ Snodgrass (n 45) 54–56.

one that arguably has swallowed the bulk of substantive international investment law.⁴⁷ Yet, most of the legal justifications for the doctrine suffered from deep flaws and inconsistencies and left many unanswered questions.⁴⁸ Commentators have pointed to the dubious juridical basis for applying legitimate expectations at all in the investment context.⁴⁹ More muted criticism has recognized the inconsistencies of applying such a doctrine under the rubric of FET, while admitting that they have become embedded in arbitral practice.⁵⁰

Therefore, despite its contingent and, one might have thought, fleeting references in early awards, legitimate expectations are now an established and powerful weapon for claimants in investment disputes. Little more than mentioning of the word 'expectations' by a few influential international lawyers, joined eventually by superficial analogies to domestic administrative law, made the concept of legitimate expectations look natural and practically automatic for modern investment law practice. Now, some twenty years later, tribunals still apply an expansive understanding of legitimate expectations in ISDS cases. Moreover, they do so even as policy-makers have been trying hard to eliminate the doctrine from the investment law repertoire in a new generation of investment treaties.⁵¹ As just one illustration, the raft of investment claims against reforms of renewable energy subsidies in Spain, Italy, and the Czech Republic have proven that the doctrine is alive and well. Thus, the emergence of this doctrine, while historically contingent, continues to weigh heavily on the present and foreseeable future of the investment treaty regime.

3.2 Legal Stability and Predictability

Another creative element found in ISDS application of the FET standard is the requirement for a state to maintain stability and predictability in its legal framework. This profound obligation is said to derive from the vague concept of FET as read in the light of aspirational language in treaty preambles.⁵² Some

⁴⁷ See eg *Electrabel SA v Republic of Hungary*, ICSID Case No ARB/07/19, Decision on Jurisdiction, Applicable Law and Liability (30 November 2012) [7.75]: 'It is widely accepted that the most important function of the fair and equitable treatment standard is the protection of the investor's reasonable and legitimate expectations.'

⁴⁸ See Ostránský (n 25).

⁴⁹ See eg Campbell (n 27).

⁵⁰ Paparinskis (n 3) 259.

⁵¹ See section 4 below. Recent Treaty-making and Arbitral Practice.

⁵² See eg *Toto Costruzioni Generali SpA v Republic of Lebanon*, ICSID Case No ARB/07/12, Award (7 June 2012) [224]; *LG&E v Argentina* (n 38) [125]; *Bayindir Insaat Turizm Ticaret Ve Sanayi AS v Islamic Republic of Pakistan*, ICSID Case No ARB/03/29, Award (27 August 2009) [178], [240]; *Duke Energy Electroquil Partners & Electroquil SA v Republic of Ecuador*, ICSID Case No ARB/04/19, Award (18

tribunals have also connected the requirement of legal stability to the similarly far-reaching doctrine of legitimate expectations.⁵³

In ISDS practice, the legal stability requirement can be attributed to the early case of *Occidental (I) v Ecuador*. The tribunal in this case was chaired by Francisco Orrego Vicuña, who presided over many ISDS tribunals in claims against Argentina after its economic crisis of 2001 and was an important figure in the promotion of an expansive version of, among other investor-friendly concepts, the legitimate expectations doctrine.⁵⁴ Another such figure, Charles Brower served as a party-appointed arbitrator alongside (for the state) Patrick Barrera Sweeney. In pushing the boundaries of FET, the tribunal expressed its confidence that ‘under international law ... there is certainly an obligation not to alter the legal and business environment in which the investment has been made.’⁵⁵ Indeed, it was so sure of the existence of such a sweeping duty of states that it saw no need to cite any authority at all in support of the assertion. Yet, the notion of stability of a legal or environment for doing business is better understood as an aspiration that motivated capital-exporting states in their lopsided push for BITs in the era of decolonization. As a doctrine of international law, however, it is very hard to sustain. The general rule under customary international law is that business conditions are fleeting.⁵⁶ This general rule clearly could not be displaced by the vague phrasing of FET. Without a more specifically contracted stabilization clause, legal stability is a hard fit within the law of FET.

Many early cases that used FET to construct the ‘stability obligation’ were based on the US–Argentina BIT of 1991. This treaty mentions, in its preamble, the importance of FET in maintaining stability: ‘Agreeing that fair and equitable treatment of investment is desirable in order to maintain a stable framework for investment and maximum effective use of economic resources.’⁵⁷ On

August 2008) [339]; *Occidental Exploration and Production Company v Republic of Ecuador (I)*, LCIA Case No UN3467, Award (1 July 2004) [183]–[186]; *Saluka v Czech Republic* (n 38) [302].

⁵³ Stability was connected with legitimate expectations explicitly in eg *Duke v Ecuador* (n 52) [339]; *Bayindir v Pakistan* (n 52) [240]; *Occidental (I) v Ecuador* (n 52) [183]–[186]; *LG&E v Argentina* (n 52) [137]; *Saluka v Czech Republic* (n 38) [302]; *MTD v Chile* (n 38) [113].

⁵⁴ Vicuña (n 33).

⁵⁵ *Occidental (I) v Ecuador* (n 52) [191].

⁵⁶ *Oscar Chinn*, PCIJ, A/B63, Judgment of 12 December 1934, 88; *George W Cook (USA) v United Mexican States* (1930) vol IV, RIAA 593, 594; *Toto v Lebanon* [242]–[244], *Parkerings-Compagniet AS v Republic of Lithuania*, ICSID Case No ARB/05/8, Award (11 September 2007) [335]–[336]; *El Paso Energy International Company v Argentine Republic*, ICSID Case No ARB/03/15, Award (31 October 2011) [374]–[375], [394].

⁵⁷ *CMS Gas Transmission Company v Republic of Argentina*, ICSID Case No ARB/01/8, Award (12 May 2005) [284]; *LG&E v Argentina* (n 38) [124]; *BG Group Plc v Republic of Argentina*, UNCITRAL, Award (24 December 2007) [307].

this basis, can one credibly say that a specific obligation of legal or regulatory stability was meant to be part of the FET treaty obligation itself? The answer is no. Under the Vienna Convention's rules of treaty interpretation, aspirational statements in a preamble may be taken to reflect a policy goal, but they do not set out binding obligations. One may hope that FET will contribute to more stability, but hopes are not the same as obligations. Indeed, the expression of a preambular aspiration itself demonstrates the intention to separate the ideal of legal stability from whatever is considered obligatory under FET.

Very few investment treaties include this preambular reference to legal stability. Apart from US BITs, such references seem to be almost exclusively found in Japanese and Finnish treaty practice.⁵⁸ Turkish investment treaties also link FET to the ideal of a stable investment framework, but again only as a preambular aspiration.⁵⁹ Some newer treaties mention stability, predictability, and favourable investment conditions in a separate introductory provision on treaty 'objectives.' Apart from these relatively few contexts, the notion of legal stability is found only in treaty exceptions for prudential measures to stabilize a state's financial system, particularly in Canadian and Japanese practice.⁶⁰

Some tribunals have gone so far as to derive an obligation to deliver legal stability from the free-floating principle of good faith, without requiring any specific text to that effect in the treaty.⁶¹ That said, and to be fair, other (more recent) tribunals have qualified the blanket statements on legal stability by noting that the implying of such an obligation from statements about legitimate expectations, and therefore FET 'may not be correct if stated in an overly broad and unqualified formulation.'⁶² Alternatively, they have offered the modest qualification that, while stability can inform the interpretation of specific obligations (like FET), it should not be used as an independent legal

⁵⁸ Treaties for the Protection and Promotion of Investment between Japan and Oman, Ukraine, Uruguay, Kazakhstan, Myanmar, Mozambique, Iraq; Treaties for the Protection and Promotion of Investment between Finland and Mauritius, Mongolia, Georgia, Jordan, Belarus, Ethiopia, Zambia, Armenia, Ukraine.

⁵⁹ Treaties for the Protection and Promotion of Investment between Turkey and Gambia 2013, Pakistan 2012, Cameroon, Bangladesh, Azerbaijan, Tanzania, Senegal, Kuwait, Slovakia, Singapore. The Turkish practice is in this way similar to the Energy Charter Treaty, art 10, which mentions the stability *desideratum* in art 10, as opposed to Turkish treaties where it retains a separate form in the preamble.

⁶⁰ Treaties for the Protection and Promotion of Investment between Canada and Mali, Senegal, Burkina Faso, Serbia, Nigeria, Cameroon, Benin; Treaties between Japan and Kazakhstan, Ukraine, Mongolia, Myanmar, Mozambique, Iraq.

⁶¹ See the discussion above on *Tecmed v Mexico* (n 34); *Metalclad v Mexico* (n 26); *Occidental (I) v Ecuador* (n 52).

⁶² *EDF (Services) Limited v Romania*, ICSID Case No ARB/05/13, Award (8 October 2009) [217]; *Saluka v Czech Republic* (n 38) [304]; *Mamidoil Jetoil Greek Petroleum Products Societe SA v Republic of Albania*, ICSID Case No ARB/11/24, Award (30 March 2015) [625]–[629].

concept.⁶³ For example, the tribunal in *Continental* distanced itself relatively clearly from treating legal stability as an autonomous obligation. Its statement captures the limitations of the original leaps of reasoning by earlier tribunals:

The stability of the legal framework for investments is mentioned in the Preamble of the BIT. It is not a legal obligation in itself for the Contracting Parties, nor can it be properly defined as an object of the Treaty ... Stability of the legal framework is undoubtedly conducive to attracting foreign investments, especially direct investments where business plans can extend over a number of years; and even more so in respect of those where initial investments are substantial and are recouped only over a long period of time. On the other hand, it would be unconscionable for a country to promise not to change its legislation as time and needs change, or even more to tie its hands by such a kind of stipulation in case a crisis of any type or origin arose. Such an implication as to stability in the BIT's Preamble would be contrary to an effective interpretation of the Treaty; reliance on such an implication by a foreign investor would be misplaced and, indeed, unreasonable.⁶⁴

Accepting this position, the concept of legal stability is unhelpful as a source of guidance let alone as an obligation. The above statement also indicates that, if one accepted the concept as somehow binding, it would be near-impossible for states to operationalize. In turn, if one accepts—as most ISDS tribunals now appear to do—that the notion of legal stability does not require states to forego their regulatory powers—then what is point of asserting it? Put differently, if it is accepted that states can still change and amend their laws, how does a requirement of stability help with the analysis and resolution of any particular case?⁶⁵ Clearly something more, such as arbitrariness, than merely change would be needed to establish a treaty violation. Yet, the treaties already have obligations to check arbitrary abuse of state power. Moreover, if states are not permitted arbitrarily to modify any of their laws and regulations, is that not itself effectively a self-standing obligation of stability?⁶⁶ The key problem with

⁶³ *Philip Morris Brands Sàrl, Philip Morris Products SA and Abal Hermanos SA v Oriental Republic of Uruguay*, ICSID Case No ARB/10/7, Award (8 July 2016) [426]; *Charanne and Construction Investments v Spain*, SCC Case No V 062/2012, Award (21 January 2016) [492], [499]; *EnCana v Ecuador*, LCIA Case No UN3481, Award (3 February 2006) [173] (in the context of indirect expropriation).

⁶⁴ *Continental Casualty Company v Argentine Republic*, ICSID Case No ARB/03/9, Award (5 September 2008) [258].

⁶⁵ *CMS v Argentina* (n 57) [284]; *LG&E v Argentina* (n 38) [124]; *BG v Argentina* (n 57) [304]–[307]; *Philip Morris v Uruguay* (n 63) [423].

⁶⁶ This distinction was well articulated in *TECO Guatemala Holdings LLC v Republic of Guatemala*, ICSID Case No ARB/10/23, Award (19 December 2013) [617]–[619].

the whole line of reasoning on legal stability is that it reverses the customary international law position that regulatory stability is ephemeral, and ‘change is the rule,’ into the position that change is exceptional and ‘stability is the rule.’⁶⁷ By extension, any exercise of the usual regulatory role of states is viewed with suspicion. In reversing the international legal position on the role of the state, ISDS tribunals have prioritized, at the most fundamental level, the investor’s perspective. In doing so, they have lost sight of the role that investment is supposed to play in any economy and society.

Not all tribunals have taken such an erroneous turn in the expansion of FET obligations in investment law. Some have more realistically underscored that regulations cannot be separated from general business conditions, considering that regulations and business conditions are interconnected and co-created by the state.⁶⁸ An investor must accept that regulations evolve as a matter of course. Investors have a duty of due diligence to learn and comply with them. It is the state’s duty to act consistently, to abide by due process, to avoid substantive arbitrariness, and to honour specific commitments, all with an acceptance of the need for reasonableness or other qualifications. One important contextualizing factor is the conditions of the host state, including its economic and political volatility. Investment treaties should not seek to eliminate political risk for investors by imposing a blanket obligation of legal stability.

3.3 Arbitrariness and Reasonableness

Less controversial elements of FET are concerned mostly with the procedural and formal characteristics of governmental regulatory action (due process, transparency, non-discrimination). More controversial ones, including legitimate expectations, legal stability, and protections against arbitrariness, reach into the substantive characteristics of regulatory action. The latter notion of arbitrariness, in the sense of its prohibition, has been accepted as part and parcel of international law without much objection.⁶⁹ Nevertheless, this does not mean that the incorporation of the notion into FET has been straightforward.

⁶⁷ The customary international law rule was specified in eg *Oscar Chinn* (n 56) 88; *George W. Cook v Mexico* (n 56) 594.

⁶⁸ See eg *Methanex Corp v US*, Final Award on Jurisdiction and Merits (3 August 2005), Part IV, Ch D [9]–[10]; *Sergei Paushok, CJSC Golden East Company and CJSC Vostokneftegaz Company v The Government of Mongolia*, UNCITRAL, Award on Jurisdiction and Liability (28 April 2011) [302]; *Charanne v Spain* (n 63) [507]; *Bayindir* (n 38) [193].

⁶⁹ See eg Frederick Alexander Mann, ‘British Treaties for the Promotion and Protection of Investments’ (1981) 52 *British Yearbook of International Law* 241, 243.

International legal discussion of arbitrariness generally starts with a reference to the ICJ Chamber's decision in *ELSI*. The relevant parts of this classic statement warrant quotation in full:

[T]he fact that an act of a public authority may have been unlawful in municipal law does not necessarily mean that that act was unlawful in international law, as a breach of treaty or otherwise. *A finding of the local courts that an act was unlawful may well be relevant to an argument that it was also arbitrary; but by itself, and without more, unlawfulness cannot be said to amount to arbitrariness.* It would be absurd if measures later quashed by higher authority or a superior court could, for that reason, be said to have been arbitrary in the sense of international law. To identify arbitrariness with mere unlawfulness would be to deprive it of any useful meaning in its own right. *Nor does it follow from a finding by a municipal court that an act was unjustified, or unreasonable, or arbitrary, that that act is necessarily to be classed as arbitrary in international law,* though the qualification given to the impugned act by a municipal authority may be a valuable indication ... arbitrariness is not so much something opposed to a rule of law, as *something opposed to the rule of law*. This idea was expressed by the Court in the *Asylum* case, when it spoke of 'arbitrary action' being 'substituted for the rule of law'. It is a wilful *disregard of due process of law*, an act which *shocks, or at least surprises, a sense of juridical propriety*.⁷⁰

The quote captures a wealth of vital considerations in relation to arbitrariness and its potential relevance to FET. First, domestic legality is a relevant consideration in the review of arbitrariness. Even so, unlawfulness under municipal law is not determinative. Secondly, since mere illegality is not enough ('not so much something opposed to a rule of law'), the conduct must reach a higher threshold of something akin to systemic failure ('something opposed to the rule of law'). Thirdly, procedural review is an important part of review for arbitrariness. Finally, in the *ELSI* conception of arbitrariness, there is an element of shock or surprise. It is particularly this last element that has been criticized as lacking analytical rigour and, instead, presenting a

⁷⁰ *Elettronica Sicula SpA (ELSI) (United States of America v Italy)* (Judgment) [1989] ICJ Rep 15 (20 July 1989) [125], [128] (citations omitted, emphasis added).

subjective test.⁷¹ Yet, this aspect still finds some support in investment arbitration case law.⁷²

Arbitrariness is closely connected to reasonableness, which may be viewed as its flipside: what is not arbitrary is reasonable. Of course, one may challenge this articulation as too broad. In different legal systems, when conduct or decision is not characterized as arbitrary, it does not necessarily follow that the conduct or decision were reasonable. Depending on the domestic legal system, the notion of arbitrariness may assume wider or narrower parameters. For example, arbitrariness may refer to situations in which a decision-maker considered irrelevant factors or failed to consider relevant ones.⁷³ Reasonableness may also itself be an exacting standard depending on the domestic law. For example, it may require a measure to be necessary for a particular purpose; in other words, it may require the least restrictive impact on particular rights or interests or, simply that a decision be substantively adequate and correct.

Regarding reasonableness, its core meaning, it has been noted that its assessment cannot be achieved by a merely technical or dogmatic approach since the word encapsulates a profound ambiguity whereby ‘what is reasonable depends on its circumstances.’⁷⁴ This problematic aspect of what is reasonable may be extended to the whole question of the meaning of FET.⁷⁵ Corten has remarked that reasonableness reflects a ‘contradiction between the essentially static character of legal texts and the dynamic character of the reality to which they apply.’⁷⁶ This underlying tension gives reason to pause in the face of the stringent requirements of legitimate expectations and legal stability, as interpreted by ISDS tribunals, alongside the imprecision of the notion of

⁷¹ See eg Kurt J Hamrock, ‘The ELSI Case: Toward an International Definition of “Arbitrary” Conduct’ (1992) 27 *Texas International Law Journal* 837, 849; Jacob Stone, ‘Arbitrariness, the Fair and Equitable Treatment Standard, and the International Law of Investment’ (2012) 25 *Leiden Journal of International Law* 77, 89. Of note is similarity between this subjective criterion and the presumption criterion in the famous *Wednesbury* rationality test: ‘is it a decision which no reasonable decision-maker in its right mind would take?’; *Associated Provincial Picture Houses Ltd v Wednesbury Corporation* [1948] 1 KB 223.

⁷² See eg *Mamidoil* (n 62) [769]; *Cargill Incorporated v United Mexican States*, ICSID Case No ARB AF/05/2, Award (18 September 2009) [296]; investment cases distance themselves from the *ELSI* dictum not on the basis of this subjective nature, but because they claim that the level of shock or outrage is not required by the FET, thus they reject it based on a degree, not on its nature. See eg *Eureko BV v Republic of Poland*, Partial Award (19 August 2005) [234]; *Pope & Talbot Inc v Government of Canada*, Award on the Merits, Phase 2 (10 April 2001) [118].

⁷³ See eg *Associated Provincial Picture Houses Ltd v Wednesbury Corporation* [1948] 1 KB 223; 5 ‘Administrative Procedure Act’, U.S. Code § 706(2)A – ‘Scope of review’.

⁷⁴ *Continental Shelf (Tunisia/Libyan Arab Jamahiriya)* (Judgment) [1982] ICJ Rep 18, 46 [72].

⁷⁵ *Saluka* (n 38) [284]; *Sempra Energy International v Argentine Republic*, ICSID Case No ARB/02/16, Award (28 September 2007) [296]; *British Caribbean Bank Limited v The Government of Belize*, PCA Case No 2010-18, Award (19 December 2014) [281].

⁷⁶ Olivier Corten, ‘The Notion of “Reasonable” in International Law: Legal Discourse, Reason and Contradictions’ (1999) 48 *International & Comparative Law Quarterly* 613, 615.

arbitrariness. States are held to strict standards of conduct under investment treaties, while arbitrators have been unable to devise tests that offer anything resembling a bright-line test for the review of regulatory action. As such, the ambiguous breadth of FET makes it one of the most exacting standards in international law.

3.4 Transparency

On many occasions, FET has been interpreted in various ways as including a notion of transparency of the regulatory framework.⁷⁷ Essentially, there are three approaches to the requirement of transparency under FET, all derived from the practice of ISDS tribunals. These are: a strict approach to transparency, a moderate approach, and a qualified approach that requires enhanced transparency only in specific factual contexts.

3.4.1 Strict approach: host state handholding

The strict approach to transparency is based on the maxim that a government must bear any risk of ambiguity arising from its actions.⁷⁸ This idea is best expressed in Wälde's Separate Opinion in *Thunderbird v Mexico*. The claim in that case arose from the closure of Thunderbird's gaming facilities. According to what the claimant had told Mexican authorities, these facilities had used 'skill machines', as opposed to 'slot machines', the latter turning solely on chance. The distinction between the machines was important because Mexican law prohibited games of chance and betting.⁷⁹ Eventually, the investor's operations were declared unlawful on this basis, as the investor's representations to regulatory bodies had been incorrect, and its facilities were closed down. A majority of the tribunal dismissed the ISDS claim, but arbitrator Wälde added a separate opinion.

Wälde's thesis was that investment treaties are more appropriately analysed using comparative public law rather than private contract law. The former,

⁷⁷ Most typically *Waste Management II v Mexico* (n 7) [98]; *Spyridon Roussalis v Romania*, ICSID Case No ARB/06/1, Award (7 December 2011) [314]; *Rumeli Telekom AS and Telsim Mobil Telekomunikasyon Hizmetleri AS v Republic of Kazakhstan*, ICSID Case No ARB/05/16, Award (29 July 2008) [605]; *Saluka v Czech Republic* (n 38) [307], [363], [500]; *Bosh International Inc and B&P Ltd Foreign Investments Enterprise v Ukraine*, ICSID Case No ARB/08/11, Award (25 October 2012) [212]; Paparinskis (n 3) 247–50.

⁷⁸ *Thunderbird v Mexico* (n 39) Separate Opinion of T Wälde; *Tecmed v Mexico* (n 34) [154]; *Metalclad v Mexico* (n 26), [76]; *Nordzucker v Poland*, UNCITRAL, Second Partial Award (Merits) (23 November 2009) [78]–[85].

⁷⁹ *Thunderbird v Mexico* (n 39) 50.

Wälde said, protected the individual from arbitrary, discriminatory, and excessive exercise of public power.⁸⁰ On the face of it, this position was unobjectionable since public law analogies are more appropriate to the structural characteristics of investment treaties and arbitration, especially in the context of regulatory disputes. Yet, Wälde went further by stripping the analogy of countervailing public policy rationales that underpin domestic legal systems. He argued that investment treaties are meant to compensate substantively for a presumed structural weakness in domestic law that disadvantages foreign investors as opposed to nationals. According to Wälde, this structural dynamic works even to diminish requirements for investors' due diligence in relation to transparency and regulation.⁸¹

Wälde's pro-investor inference was excessive. Suppose that domestic law is ambiguous, contradictory, or not readily available. Such limitations should arguably not harm the investor if it made an effort, from the perspective of a reasonable businessperson, to familiarize itself with the legal requirements. Even then, however, this ambiguity should not itself lead to host state liability if the investor's assessment of the law turned out to be incorrect. The mere fact that an investor is in a subordinate administrative position to that of state regulators cannot alleviate its duty of basic due diligence into the legal framework for its business. Taken to its logical end, such an alleviation of investor responsibility would oblige administrative agencies to counsel investors proactively about applicable rules and regulations and any potential changes.⁸² Such a conclusion is fanciful in national law contexts. Public authorities are required to be as forthcoming as domestic law requires, not more so because a regulated actor is a foreign investor.

3.4.2 Moderate approach: due diligence and accessibility

The moderate approach to transparency combines the three propositions: that regulations must be readily available, that an investor must conduct due diligence into regulations covering its investment, and that ambiguity, if it reaches extreme levels (such as requiring mutually exclusive courses of conduct) cannot be interpreted to the investor's detriment.⁸³ Under this approach, the

⁸⁰ *ibid* para 27.

⁸¹ *ibid* para 33.

⁸² The most extreme version of this criterion can be found in the cases of *Metalclad* and *Tecmed*. See eg, *Metalclad v Mexico* (n 26) [76]: 'Once central authorities become aware of any scope of uncertainty in this connection, it is their duty to ensure that the correct position is properly determined.' *Tecmed v Mexico* (n 34) [154].

⁸³ *Plama Consortium Limited v Republic of Bulgaria*, ICSID Case No ARB/03/24, Award (27 August 2008) [268]–[270]; *Eudoro Armando Olguín v Republic of Paraguay*, ICSID Case No ARB/98/5, Award

state must create conditions by which investors can familiarize themselves with applicable regulations, but the investor must also be diligent in reviewing the regulations properly.⁸⁴ Many recent treaties include a transparency clause as a self-standing obligation of the states parties, while specifying that the obligation pertains only to the publishing of laws and regulations.⁸⁵

This approach eliminates the most extreme consequences of the strict approach to transparency. It recognizes that it is unreasonable to expect public administrators to take a proactive stance whenever foreign investors are affected. Such an attitude would be highly unusual if it concerned a national. As the tribunal in *Invesmart v Czech Republic* put it: 'due diligence is a subjective coin of transparency'.⁸⁶ Put differently, the international standard, premised on FET, should not require the state to do the work of any economic actor, whether foreign or national. Investment treaties are not a substitute for any investors' lack of diligence. Thus, the strict approach to transparency is tempered.

3.4.3 Qualified approach: negotiations

In some ISDS cases, the tribunal has extended the strict approach to transparency only to particular contexts, such as where there are direct dealings, on a footing of equality, between the administration and the investor. Thus, in contractual negotiations, governments have sometimes been held to standards more stringent than the moderate approach.⁸⁷ The tribunals justified this particularized strictness on the basis that the government has specific notice of direct negotiations with the investor. Further, the government holds the

(26 July 2001) [65]–[76]; *Alasdair Ross Anderson and Others v Republic of Costa Rica*, ICSID Case No ARB AF/07/3, Award (19 November 2010) [58]; *Marion Unglaube and Reinhard Unglaube v Republic of Costa Rica*, ICSID Case No ARB/08/1 + ARB/09/20, Award (16 May 2012) [258]; *Joseph Charles Lemire v Ukraine*, ICSID Case No ARB/06/18, Dissenting Opinion of J Voss [15], [158]–[161].

⁸⁴ *Invesmart v Czech Republic*, UNCITRAL, Award (26 June 2009) [296], [327]. For an older authority on the requirement of transparency see *Case of 'Fair American' (US, Mexico)* (1841) in JB Moore, *History and Digest of the International Arbitrations to which the United States Has Been a Part*, vol 4 (Government Printing Office 1898) 3369.

⁸⁵ Mostly Canadian treaties; see eg art XVI(2) of the Canada–Latvia BIT, signed 5 May 2009: 'Each Contracting Party shall, to the extent practicable, ensure that its laws, regulations, procedures, and administrative rulings of general application respecting any matter covered by this Agreement are promptly published or otherwise made available in such a manner as to enable interested persons and the other Contracting Party to become acquainted with them.' Further Canada–Romania BIT, 8 May 2009, art XVI(2); art 4 of the Japan–India CEPA, 16 February 2012; Canada–China BIT, 09 Sep 2012, art 17; Canada–Jordan BIT, 26 June 2009, art 19, combining the general obligation with best efforts obligation to allow 'interested persons and the other Party' for an opportunity to comment.

⁸⁶ *Invesmart v Czech Republic* (n 84) [272].

⁸⁷ *PSEG v Turkey*, para 186, 246, 250–51; *Nordzucker* (n 78) [83]–[85]; less explicitly also *Electrabel* (n 47) [7.79]; *Ioan Micula, Viorel Micula, SC European Food SA, SC Starmill SRL and SC Multipack SRL v Romania*, ICSID Case No ARB/05/20, Separate Opinion of G Abi-Saab (5 December 2013) [12]–[13]. Abi-Saab, however, frames this issue as a question of consistency and negligence.

relevant information about the applicable framework and policies, insofar as it authors them. Yet, even this requirement must be qualified by the context. For instance, specialized administrative bodies with limited competence should not be expected to represent policies, or be aware of intricacies and technicalities of matters, that fall within the competencies of other administrative bodies. Unfortunately, very few tribunals have endorsed this more realistic approach to the functioning of public administration.⁸⁸

4 Recent Treaty-making and Arbitral Practice

A predominant theme of this chapter has been that FET is the most controversial and far-reaching standard under investment treaties. Without detailed guidance from the treaty text, early ISDS cases led to expansive conceptions of FET that hold governments to exceptionally demanding scrutiny. Tribunals formulated doctrines that are virtually unheard of in national legal systems or that were imported into ISDS without the concomitant public law doctrines that usually limit state liability in domestic law. What do these developments mean for the future of FET and, more broadly, the international regime of investment protection?

With respect to FET, one observes two somewhat opposing tendencies. On the one hand, policy-makers have been attuned to the developments in practice and have tried to curtail arbitrator discretion by crafting more careful and detailed treaty language. On the other hand, the current ISDS caseload is still mostly authorized by old generation treaties, usually dating from the 1990s, and arbitrators have shown little willingness to accept the accumulated critique.

4.1 Recent Treaty Practice

Responding to ISDS practice, states have concluded various treaties in the last decade with a view to qualifying and detailing the content of FET, or excluding it altogether. International organizations have also called for reform of the existing stock of investment treaties to align them with sustainable development

⁸⁸ *Invesmart v Czech Republic* (n 84) [243], [250]–[258].

goals and the green economy transition.⁸⁹ These efforts are welcome and well-justified.

As an example, the 2016 India Model BIT does not include any reference to FET. Rather, it limits the relevant protections to violations of customary international law, with an exhaustive list of elements:

No Party shall subject investments made by investors of the other Party to measures which constitute a violation of customary international law through:

- (i) denial of justice in any judicial or administrative proceedings; or
- (ii) fundamental breach of due process; or
- (iii) targeted discrimination on manifestly unjustified grounds, such as gender, race or religious belief; or
- (iv) manifestly abusive treatment, such as coercion, duress and harassment.⁹⁰

Similarly, the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) states that FET does not go beyond customary requirements and specifies that FET ‘includes the obligation not to deny justice in criminal, civil or administrative adjudicatory proceedings in accordance with the principle of due process embodied in the principal legal systems of the world’ and that, for greater certainty, ‘the mere fact that a Party takes or fails to take an action that may be inconsistent with an investor’s expectations’ or ‘the mere fact that a subsidy or grant has not been issued, renewed or maintained, or has been modified or reduced’ will not violate the treaty.⁹¹ Finally, some states’ investment treaties exclude FET and common protection standards altogether and move in a different direction of investment governance, prioritizing investment promotion and facilitation instead of protection.⁹²

⁸⁹ See eg UNCTAD, *Investment Policy Framework for Sustainable Development* (UNCTAD 2015) https://unctad.org/system/files/official-document/diaepcb2015d5_en.pdf; UNCTAD, *UNCTAD’s Reform Package for the International Investment Regime* (UNCTAD 2018) https://investmentpolicy.unctad.org/uploaded-files/document/UNCTAD_Reform_Package_2018.pdf; UNCTAD, *International Investment Agreements Reform Accelerator* (UNCTAD 2020) https://unctad.org/system/files/official-document/diaepcbinf2020d8_en.pdf; OECD, *The Future of Investment Treaties*, OECD Work Programme <https://www.oecd.org/investment/investment-policy/investment-treaties.htm>.

⁹⁰ 2016 India Model BIT, art 3 https://dea.gov.in/sites/default/files/ModelBIT_Annex_0.pdf.

⁹¹ CPTPP, entry into force 30 December 2018, ch 9, s A, art 9.6. For another example of similarly worded provision see eg art 5 of the Colombia–UAE BIT.

⁹² See eg the Brazilian Cooperation and Facilitation of Investment Agreements. For an overview see eg Nitish Monebhurrin, ‘Novelty in International Investment Law: The Brazilian Agreement on Cooperation and Facilitation of Investments as a Different International Investment Agreement Model’ (2017) 8 *Journal of International Dispute Settlement* 79; Joaquim P Muniz, Kabir AN Duggal, and Luis

Despite this awareness of the problem of overly broad FET interpretations, recent treaties are a drop in the bucket of existing treaties. They account for less than five per cent of those in force. More importantly, new ISDS cases are brought regularly under the old treaties. Comprehensive reform of the whole regime is needed either to terminate or substantially rewrite existing treaties. The case for such an overhaul is urgent in the face of climate disruption. According to a recent study, the potential liability of states for ISDS claims arising from climate action measures may rise to hundreds of billions of USD.⁹³ The FET standard, as it has been shaped over the last two decades, is one of the main obstacles to energy transition. Indeed, energy transition cases are the newest laboratory for FET-based claims.

4.2 Recent Arbitral Practice

In the last decade or so, the Czech Republic, Italy, and Spain have faced dozens of ISDS claims spurred by changes to their respective subsidy programmes for renewable energy. The crux of the disputes is as follows.⁹⁴ In the early 2000s, under European Union guidance, European states moved to support investments in renewable energy. For the Czech Republic, Italy, and Spain, the chosen policy was feed-in tariffs designed to incentivize investors to invest where markets in the sector had not yet consolidated and returns were uncertain. The feed-in tariffs included state commitments to purchase the energy at a fixed price, guaranteeing a return over a certain period. These parameters were enshrined in general law. Thus, the states shouldered much of the uncertainty in renewable energy, socializing potential risks in a relatively new sector.

This original regulatory framework did not, however, fully account for future changes in solar technology.⁹⁵ With the radical decrease in the technology price, combined with their increased efficiency, investments in the sector

AS Peretti, 'The New Brazilian BIT on Cooperation and Facilitation of Investments: A New Approach in Times of Change' (2017) 32 ICSID Review: Foreign Investment Law Journal 404.

⁹³ Kyla Tienhaara and others, 'Investor-State Disputes Threaten the Global Green Energy Transition' (2022) 376 Science 701.

⁹⁴ For details of the Czech and Spanish regulatory frameworks see eg Anna Bilanová and Jaroslav Kudrna, 'Solar Arbitrations against the Czech Republic: Glimpse of Hope for Investor-State Arbitration' (Arbitration Journal) <https://journal.arbitration.ru/analytics/solar-arbitrations-against-the-czech-republic-glimpse-of-hope-for-investor-state-arbitration/>; Perrone (n 12) 163–70.

⁹⁵ The relevant EU law is Directive 2001/77/EC of the European Parliament and of the Council (27 September 2001) on the promotion of electricity produced from renewable energy sources in the internal electricity market.

became a state-financed gold mine. Investors in solar energy reaped wind-fall profits. It was a 'solar boom' at massive budgetary cost to government and consumers.⁹⁶ Electricity prices increased significantly. When the three states changed their programmes to address the problem, a flood of ISDS claims followed.

In these cases, FET featured prominently. The doctrine of legitimate expectations and requirement for legal stability were invoked contentiously, leading to divergent interpretations by tribunals. These ranged from very expansive to more moderate. Some tribunals decided that general laws could engender legitimate expectations of legal stability.⁹⁷ Others held that the changes in the regulatory framework had to be reasonable and proportionate so as not to frustrate the economic basis of the investments. Others decided that new legislation had to ensure a reasonable return to investors.⁹⁸ Various tribunals ultimately found the state liable for the changes. Overall, this recent history of ISDS litigation has signalled that regulatory experimentation in the energy sector will be simply unsustainable for many states.

5 Old Habits Die Hard

It is well established in the scholarship that international law sources are generally open-ended and of an indeterminate nature.⁹⁹ The language of FET is known to suffer particularly from substantial indeterminacy. This limitation is demonstrated by variety of conclusions that have been reached about its

⁹⁶ See eg Jaroslav Dorda, 'Czech Republic "Taming" Solar Boom' *PV Tech Blog* (15 September 2010) www.pv-tech.org/guest_bog_iii_czech_republic_taming_solar_boom/; Energiewende Team, 'The Age of Czech Solar Power: After Years of Stagnation, Is a Rebirth Imminent?' *Global Energiewende* (20 March 2019) <https://energytransition.org/2019/03/czech-solar-power-after-years-of-stagnation/>.

⁹⁷ *9REN Holding Sàrl v Kingdom of Spain*, ICSID Case No ARB/15/15; *OperaFund Eco-Invest SICAV PLC and Schwab Holding AG v Kingdom of Spain*, ICSID Case No ARB/15/36; *Greentech Energy Systems A/S and Others v Italian Republic*, SCC Case No V 2015/095.

⁹⁸ *Jürgen Wirtgen, Stefan Wirtgen, Gisela Wirtgen and JSW Solar (zwei) GmbH & Co KG v Czech Republic*, PCA Case No 2014-03; *Isolux Netherlands BV v Kingdom of Spain*, SCC Case V2013/153; *Stadtwerke München GmbH, RWE Innogy GmbH, and Others v Kingdom of Spain*, ICSID Case No ARB/15/1.

⁹⁹ This is no place to discuss the varieties of the indeterminacy thesis in legal scholarship, such as American legal realism, structural indeterminacy, linguistic indeterminacy, critical legal studies, Marxism, TWAIL etc; see eg Cameron Miles, 'Indeterminacy' in Jean d'Aspremont and Sahib Singh (eds), *Concepts for International Law* (Edward Elgar Publishing 2018) 447; Martti Koskenniemi, *From Apology to Utopia: The Structure of International Legal Argument* (CUP 2005); David Kennedy, 'When Renewal Repeats: Thinking against the Box' (2000) 32 *New York Journal of International Law and Politics* 335, 404–408; Robert Knox, 'Marxism, International Law, and Political Strategy' (2009) 22 *LJIL* 413.

content, as interpreted in jurisprudence and scholarship. Against the backdrop of this indeterminacy, the prevailing political economy of the field of investment arbitration creates reputational and economic incentives for the actors who decide, including the international adjudicators. It also frames what is perceived as a preferable and acceptable outcome.¹⁰⁰

As this volume reveals, many investment law standards, apart from FET, constitute a legal toolkit that is premised on contingent events. However, their actual application in ISDS reflects a specific political economy. On the one hand, if we look at the application of legal concepts expressing the state's regulatory powers, we see that notions ostensibly available to promote public interest and public welfare objectives are in practice disregarded, stripped to the bare bones, or relegated to an exception.¹⁰¹ On the other hand, doctrines devised to protect investor interests are expanded so as to become almost all-encompassing and indiscriminate,¹⁰² or, at best, used for idiosyncratic balancing against public interests.¹⁰³ Fundamentally, a dispute settlement mechanism with party-appointed side persons offers little incentive and limited opportunity for arbitrators to turn from the path beaten in earlier cases.

Analysis of the arbitral practice and scholarship on FET reveals a political economy that prioritizes individual investors and corporate economic actors in critical matters of national economic ordering. This political economy removes the foreign investor from the regulatory context of host states and socializes risks associated with foreign investment.¹⁰⁴ The leading cases on FET favour this approach to investor–state relations. They have generated a jurisprudence that is too path dependent, drawing heavily on earlier cases that took investor-protecting concepts too far. From 2007 on, the application of FET has

¹⁰⁰ That is adjudicators' worldviews about the role of private property and foreign investment in national, regional, and global economy and about the role and functions of the state vis-à-vis the economy and society.

¹⁰¹ See most recently *Eco Oro Minerals Corp v Republic of Colombia*, ICSID Case No ARB/16/41, Award, Decision on Jurisdiction, Liability and Directions on Quantum (9 September 2021).

¹⁰² *Tecmed v Mexico* (n 34); *Bilcon of Delaware and Others v Government of Canada*, PCA Case No 2009-04; *Masdar Solar & Wind Cooperatief UA v Kingdom of Spain*, ICSID Case No ARB/14/1, Award (25 September 2018).

¹⁰³ *Total SA v Argentine Republic*, ICSID Case No ARB/04/01; *Continental v Argentina* (n 64) [255]–[261]; *Tecmed v Mexico* (n 34) [122], [133]; *Azurix Corp v Argentine Republic*, ICSID Case No ARB/01/12, Award (14 July 2006) [311]; *LG&E v Argentina* (n 38) [194]; *Philip Morris v Uruguay* (n 63) [305]–[306].

¹⁰⁴ Quinn Slobodian, *Globalists: The End of Empire and the Birth of Neoliberalism* (HUP 2018) ch 1. See also Perrone (n 12) 163–71.

been more circumscribed,¹⁰⁵ but we still find recent decisions adhering to the far-reaching interpretations.¹⁰⁶

Although it is much needed, change in the ISDS practice of FET has been minimal and snail-paced. These limitations are rooted in the normative pull of the early cases, even if tempered somewhat by cosmetic accommodations stemming from external and internal critiques. The existing dispute settlement model, combined with its community of practice, offers little hope for change. New treaties react to the early ‘excesses’, but they are small in number compared to the universe of old treaties still in force. Moreover, even the new treaties that put limits on FET still give license to broad interpretation. This licence is dangerous because adjudicators often channel and accommodate their political economic preferences through the application of malleable concepts, doctrines, and techniques. The FET clauses in new treaties may be more limited, but they still allow arbitrators to employ ambiguous doctrines such as good faith, vested rights, consistency, estoppel, or proportionality, producing effectively equivalent levels of protection for foreign investment. So long as FET and the international minimum standard are decided within the current or a similar ISDS mechanism, and by the current or a similar group of people, little change can be expected.

¹⁰⁵ *Total v Argentina* (n 103); *Toto Costruzioni Generali SpA v Republic of Lebanon*, ICSID Case No ARB/07/12, Award (7 June 2012); *Gold Reserve Inc v Bolivarian Republic of Venezuela*, ICSID Case No ARB AF/09/1, Award (22 September 2014); A similar account with respect to trade law can be found in Rob Howse, ‘The World Trade Organization 20 Years On: Global Governance by Judiciary’ (2016) 27 *European Journal of International Law* 9.

¹⁰⁶ See the cases referred to above in section 4.2 Recent Arbitral Practice. See also *Bilcon v Canada* (n 102) [447]; *Masdar v Spain*; *Antaris Solar GmbH and Dr Michael Göde v Czech Republic*, PCA Case No 2014-01, Dissenting Opinion of Gary Born (2 May 2018).